

Geopolitical Alignment and Trade Fragmentation: Asymmetric Effects of US- and China-Salient Risk

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Abstract

This paper examines how bilateral merchandise goods trade responds to geopolitical risk along continuous alignment gradients. Using continuous UN ideal-point distance data and disaggregated trade flows, we estimate structural gravity models using Poisson pseudo-maximum likelihood (PPML) with exporter-year, importer-year, and dyad fixed effects. Our findings are fourfold. First, higher geopolitical risk fragments trade along geopolitical lines: more distant or polarized dyads trade relatively less when risk rises, while closely aligned dyads trade relatively more. Second, this fragmentation is strongly asymmetric, with China-salient risk generating trade reallocation more than three times larger than US-salient risk. Third, the fragmentation gradient is substantially weaker for ASEAN-linked dyads, with nearly complete attenuation under US-salient risk. Fourth, sectoral analysis shows that this attenuation is strongest in capital-intensive and global value chain goods. These results reveal that geopolitical fragmentation is source-dependent and that ASEAN acts as a distinct regional buffer, though its resilience is less complete when risk is centered on China.

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